



SOLID MOVE The acquisition will boost the group's cement production capacity to 73.6 mtpa from the current 67.5 mtpa

Ambuja and ACC, the group has an established customer base, he says. "Now, there is an opportunity for a more value-added play." Besides, the group has a play in infrastructure, more specifically in road and ports. "Getting it right in commodities calls for a large footprint and the ability to sell. Adani's cement business is well-placed in both."

And the group intends to press on. Sanghi's capacity would be increased to 15 mtpa in two years, said Karan

Adani, Director of Ambuja Cements, after the deal was announced. "We will also be investing in expanding the captive port capacity to accommodate vessel sizes of 8,000 DWT (deadweight tonnage of a ship). Our vision is to produce the lowest-cost clinker at Sanghipuram (in Gujarat) and then transport clinker as well as bulk cement through the coastal route to the markets of Saurashtra, south Gujarat, Mumbai and Mumbai Metropolitan Region, Karnataka and

Kerala," he said, adding that synergy with its ports would help speed up implementation of this strategy.

According to a cement industry executive, the deal could also see Sanghi exporting its cement to locations such as Dubai, Bahrain and Muscat. "With the sea route option at their disposal, the ability to disrupt markets is quite high," he says. Further, Karan Adani said that the ongoing capex for Sanghi will boost the group's cement production to 101 mtpa by 2025. "Ambuja's goal of 140 mtpa capacity by 2028 is well on track, and with this acquisition, it will be achieved ahead of time," he said.

Choksey says the group can reap another benefit from its involvement in the infra space. "Be it roads, water or railways, they are strongly placed and can control transport costs," he argues. With the group's coal business in Australia, for instance, it can easily export it to India for its power business, which in turn throws up fly ash, a raw material for cement manufacturing. "Ambuja uses rice husk as an alternative power already, and it can easily be moved across the overall cement business. With scale, it is possible to cut back on costs and increase efficiency levels."

The Sanghi buyout, it is expected, will further cement the Adani Group's position in the sector. **BT**

RECENT DEALS IN THE CEMENT SPACE

YEAR	ACQUIRER	TARGET COMPANY	CAPACITY (MTPA)	VALUATION (EV) IN \$ PER TONNE
FY17	Nirma	Lafarge	11	126
FY17	JSW Cement	Shiva Cement	0.2	125
FY17	UltraTech	Jaypee	21.2	116
FY19	UltraTech	Binani Cement	11.3	101
FY19	UltraTech	Century Textiles	13.4	92
FY20	Nirma	Emami Cement	8.3	95
FY23	Dalmia Bharat	Jaiprakash Associates	9.4	73
FY23	Adani Group	Ambuja Cements, ACC	67.5	164
FY24	Ambuja Cements	Sanghi Industries	6.1	100

MTPA: Million tonnes per annum; **EV:** Enterprise value; **Source:** Research reports

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